# Inox India Ltd. | Rating: Buy | TP: Rs 1,610

## *KTA from meeting with Ultra Gas & Energy*

**We met the management of Ultra Gas and Energy Ltd, a leading player in the LNG segment to gain deeper insights into the evolving LNG ecosystem in India. As LNG adoption accelerates—particularly in the long-haul trucking, the need for LNG storage and fueling infrastructure (India has 49 LNG stations of which only ~25-27 are operational vs. China at 5,000) is expected to rise significantly and give a boost to INOX India, a key supplier of cryogenic products. The ongoing geopolitical unrest is unlikely to have a significant bearing on near-term earnings, and we remain positive given strong order book and structural tailwinds across its segments. We estimate revenue/EBITDA/PAT CAGR of ~18–19% over FY25-28E and maintain BUY.**

- **Significant opportunity for LNG usage expansion in India:** India's LNG consumption remains low at ~10% of the country's total fuel consumption leaving significant room for expansion as the country pursues lower-carbon energy solutions. LNG, with a higher hydrogen-to-carbon ratio, offers a relatively cleaner, cheaper, and practical alternative. The LNG trucking ecosystem however is at a nascent stage with ~1,350 trucks currently on the road, but adoption should accelerate materially going forward as fleet operators recognize the lifecycle cost advantages over diesel. While LNG fueling infrastructure currently faces low utilization, the long-term opportunity remains strong as the ecosystem matures. *Ultra Gas is positioning itself early by building an integrated ecosystem through partnerships spanning truck manufacturers, logistics operators, and its own fueling infrastructure.*

- **Inox India - a key beneficiary of increased LNG adoption:** INOX has a strong presence across the LNG value chain supplying a range of cryogenic equipment including LNG satellite stations, LNG fuel tanks for marine vessels and automotive OEMs, LNG fueling station infrastructure, and mini-LNG terminals for remote regions, all contributing ~26% to its total topline in 9MFY26. As LNG adoption expands across trucking, marine and industrial applications – also aided by GOI push, demand for cryogenic storage and transportation systems is expected to rise. *Inox India with strong engineering and execution capabilities is well positioned to benefit from the growth of the broader LNG ecosystem.*

- **Structural demand drivers to keep INOX India's growth resilient:** Cryogenic systems are key enablers across industries, with demand supported by rising industrial gas consumption, growing LNG adoption, and expanding scientific applications. As these end-markets scale globally, demand for cryogenic equipment should remain buoyant despite near-term geopolitical headwinds. *Our interaction with Ultra Gas management further strengthened our conviction on the LNG opportunity, while exposure to emerging areas such as data center cooling, semiconductors, and aerospace launch infrastructure provides additional growth avenues.*

- **Valuation, view & Key risks:** With only ~10% of its revenue linked to Middle East, we expect modest impact to Inox India's sales. We remain constructive on the long-term opportunity attributable to strong order book and structural tailwinds across its segments of presence. We value Inox India at an unchanged 40.0x P/E and 30.0x EV/EBITDA on December 2027E estimates arriving at a TP of Rs 1,610. **Key risks:** Sharp increase in LNG prices leading to delayed LNG adoption, delay in new cryo-scientific projects.

| Target price | 1,610 |
|---|---|
| CMP | 1,151 |
| Upside | 40% |

| Price Performance (%) | 1M | 6M | 1Yr |
|---|---|---|---|
| INOXINDI IN | 0% | -5% | 9% |
| Nifty | -9% | -10% | -5% |

*Source: BSE, NSE, Company*

| Key Data | |
|---|---|
| Bloomberg Code | INOXINDI:IN |
| Curr Shares O/S (mn) | 90.8 |
| Diluted Shares O/S(mn) | 90.8 |
| Mkt Cap (INRbn/$mn) | 109/1,232 |
| 52 Wk H / L (Rs) | 1,288/884 |
| 3M Average Volume | 69,200 |

| Shareholding pattern (%) | Dec-25 | Sep-25 | Jun -25 | Mar-25 |
|---|---|---|---|---|
| Promoter Group | 75.0% | 75.0% | 75.0% | 75.0% |
| DIIs | 7.3% | 6.7% | 6.7% | 6.3% |
| FIIs | 7.1% | 7.1% | 6.9% | 6.8% |
| Others | 10.6% | 11.2% | 11.4% | 11.9% |

*Source: BSE*

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| Y/E (INR in mn) | Revenue | YoY (%) | EBITDA | EBITDA Margin | PAT | YoY (%) | EPS | RoE | RoCE | P/E (x) | EV/EBITDA (x) |
|---|---|---|---|---|---|---|---|---|---|---|---|
| FY24 | 11,312 | 17.1% | 2,503 | 22.1% | 1,960 | 26.7% | 21.6 | 32.7% | 37.2% | 56.5 | 43.4 |
| FY25 | 13,060 | 15.5% | 2,847 | 21.8% | 2,260 | 15.3% | 24.9 | 29.7% | 33.0% | 45.5 | 35.3 |
| FY26E | 15,541 | 19.0% | 3,415 | 22.0% | 2,691 | 19.1% | 29.6 | 26.9% | 30.4% | 38.8 | 29.4 |
| FY27E | 18,339 | 18.0% | 4,030 | 22.0% | 3,216 | 19.5% | 35.4 | 25.2% | 28.2% | 32.5 | 24.5 |
| FY28E | 21,456 | 17.0% | 4,715 | 22.0% | 3,846 | 19.6% | 42.4 | 24.0% | 26.2% | 27.2 | 20.4 |

*Source: Company, MNCL Research Estimates*

# KTAs from Ultra Gas Management Interaction

**LNG Fuel Opportunity in India**

- India consumes roughly 220 MMT of liquid fuels including petrol, diesel, ATF, furnace oil, LPG and naphtha, while total fuel consumption is about 550 MMT equivalent including coal which makes up 280 MMT, indicating a potentially large addressable energy market.
- LNG imports are currently around 26 MMT, with a similar quantity produced domestically, implying that LNG currently serves only a small portion of India's total energy demand (~10%).
- Because of its relatively lower carbon intensity and existing infrastructure, LNG is increasingly viewed as a practical transition fuel that can help India meet its medium and long-term carbon reduction objectives.
- Although hydrogen as a fuel produces no carbon emissions at the point of use, its production, storage, and transportation remain technologically complex and expensive, making large-scale adoption difficult in the near term. As a result, LNG is widely seen as one of the most practical immediate solutions to reduce emissions in hard-to-electrify sectors such as heavy trucking.
- Global LNG supply dynamics also influence availability and pricing, with around 30% of India's LNG imports in liquid form and about 20% in gaseous form linked to Strait of Hormuz route, exposing supply chains to geopolitical risks.
- Ultra Gas secures LNG supply through a diversified sourcing strategy, with ~40% sourced from long-term contracts with US suppliers, ~40% from Middle Eastern suppliers, and ~20% from spot markets.
- Over time, LNG may also evolve into a tradable energy commodity within India, supported by emerging pricing and trading frameworks.

**Opportunity to Shift Heavy Trucks from Diesel to LNG**

- Heavy commercial trucking represents one of the most promising segments for LNG adoption due to the sector's high fuel consumption and long-distance operations.
- LNG-powered trucks offer lower operating costs compared with diesel trucks, with LNG prices currently around 30% cheaper than diesel, providing a meaningful fuel cost advantage.
- LNG trucks also produce lower carbon emissions than diesel, which is increasingly important as industries face pressure to reduce their carbon footprint.
- Due to LNG's higher energy density compared with gaseous fuels like CNG, LNG trucks can typically cover 1,000-1,200 km on a single fill, making them suitable for long-haul freight movement.
- The capital cost of an LNG truck is significantly higher, with a typical LNG truck costing around Rs65 lakh compared with roughly Rs35 lakh for a diesel truck.
- Despite the higher upfront cost, operators can recover the incremental investment through fuel savings, with estimates suggesting the initial cost can be recovered after around 100,000 km of operation.
- LNG trucks are therefore more suitable for large fleet operators rather than small or single-truck operators, as scale and utilization are critical to achieving economic viability.
- Retrofitting diesel trucks to run on LNG is technically feasible but invariably lead to reliability concerns and shorter engine life, as diesel engines operate on compression ignition while LNG engines typically require spark-ignition systems, requiring significant engine modifications. For this reason, purpose-built LNG trucks are preferred, and automotive OEMs such as Tata Motors in partnership with companies like Eicher have begun actively developing LNG truck platforms in recent years.

**LNG Trucking Market – Current Scale and Growth Outlook**

- India's LNG trucking industry is currently at an early stage of development, with only around 1,350 LNG trucks currently operating on Indian roads.
- The LNG trucking ecosystem consists of multiple specialized participants, including truck manufacturers, fuel suppliers, and logistics operators, rather than a single vertically integrated operator.
- Large industrial companies are already evaluating LNG trucking solutions for freight transportation. Over the next few years, adoption is expected to accelerate as fuelling infrastructure expands and OEM support increases.

**LNG Fuelling Infrastructure and Ultra Gas Strategy**

- LNG fuelling infrastructure remains one of the key enablers for scaling LNG truck adoption in India.
- LNG fueling infrastructure is harder to scale compared with LNG truck adoption, as stations require specialized cryogenic storage along with multiple approvals—including land acquisition and highway authority clearances, making the development process more complex and time-consuming.
- Most LNG stations in India are currently operating at low utilization and are loss-making, as the number of LNG trucks on the road is still limited. This phase of low utilization is typical in emerging fuel ecosystems, where fueling infrastructure is built ahead of large-scale vehicle adoption.

# Valuation

Our base-case estimates project revenue, EBITDA, and PAT to grow at a CAGR of 18%, 18%, and 19%, respectively, over FY25–28E. We value the company at 40.0x P/E and 30.0x EV/EBITDA on December 2027E estimates, factoring in an EPS of Rs 40.6 and EBITDA of Rs 4,544 mn, which yields an average target price of Rs 1,610. These valuation multiples align with capital goods peers that deliver 20%+ revenue growth and 20%+ ROE/ROCE.

At the current market price of Rs 1,151, this translates to a 40% upside in our base case, 85% in the bull case, and a 16% downside in the bear case. The bull case assumes stronger revenue growth of 25% CAGR over the forecast period (with other parameters unchanged), while the bear case factors in a slower 10% CAGR, keeping profit margins constant.

**Exhibit 1: Target price computation**

| Target price | Base case | Bull case | Bear Case |
|---|---|---|---|
| **Average Target Price (INR)** | **1,610** | **2,131** | **963** |
| Implied upside (%) | 40% | 85% | -16% |
| | | | |
| **P/E-based valuation** | | | |
| Estimated EPS (INR) | 40.6 | 47.1 | 33.9 |
| Attributed price-to-earnings (x) | 40.0 | 45.0 | 30.0 |
| Target price (INR) | 1,626 | 2,120 | 1,018 |
| Implied upside (%) | 41.2% | 84.2% | -11.5% |
| Net income margin | 17.8% | 17.6% | 18.1% |
| | | | |
| **EV/EBITDA-based valuation** | | | |
| Estimated EBITDA (Rs mn) | 4,544 | 5,325 | 3,733 |
| Attributed EV/EBITDA (x) | 30.0 | 35.0 | 20.0 |
| Target price (INR) | 1,589 | 2,142 | 907 |
| Implied upside (%) | 38.1% | 86.1% | -21.2% |
| EBITDA margin | 22.0% | 22.0% | 22.0% |

*Source: MNCL Research Estimates*

**Key risks:**

- Sharp increase in LNG prices leading to delayed LNG adoption,
- Delay in new cryo-scientific projects.

# Financials

**Exhibit 2: Consolidated Income Statement**

| In Rs mn, except per share | FY21 | FY22 | FY23 | FY24 | FY25 | FY26E | FY27E | FY28E |
|---|---|---|---|---|---|---|---|---|
| **Net revenue** | **5,947** | **7,837** | **9,659** | **11,312** | **13,060** | **15,541** | **18,339** | **21,456** |
| *YoY growth* | *-8.4%* | *31.8%* | *23.3%* | *17.1%* | *15.5%* | *19.0%* | *18.0%* | *17.0%* |
| Cost of goods sold | 2,478 | 3,377 | 4,327 | 4,942 | 5,770 | 6,838 | 8,069 | 9,441 |
| **Gross profit** | **3,470** | **4,459** | **5,332** | **6,370** | **7,290** | **8,703** | **10,270** | **12,016** |
| ***Gross margin*** | ***58.3%*** | ***56.9%*** | ***55.2%*** | ***56.3%*** | ***55.8%*** | ***56.0%*** | ***56.0%*** | ***56.0%*** |
| Employee expenses | 620 | 767 | 790 | 1,017 | 1,100 | 1,310 | 1,545 | 1,808 |
| Other operating expenses | 1,488 | 2,039 | 2,498 | 2,850 | 3,343 | 3,978 | 4,694 | 5,492 |
| **EBITDA** | **1,362** | **1,654** | **2,044** | **2,503** | **2,847** | **3,415** | **4,030** | **4,715** |
| ***EBITDA margin*** | ***22.9%*** | ***21.1%*** | ***21.2%*** | ***22.1%*** | ***21.8%*** | ***22.0%*** | ***22.0%*** | ***22.0%*** |
| Depreciation and amortization | 118 | 121 | 139 | 181 | 251 | 298 | 352 | 412 |
| Earnings before interest and taxes | 1,244 | 1,533 | 1,904 | 2,321 | 2,596 | 3,117 | 3,678 | 4,304 |
| *EBIT margin* | *20.9%* | *19.6%* | *19.7%* | *20.5%* | *19.9%* | *20.1%* | *20.1%* | *20.1%* |
| Interest and Investment income | 136 | 154 | 131 | 212 | 221 | 230 | 320 | 490 |
| Interest and commission expenses | 69 | 23 | 37 | 57 | 85 | 94 | 106 | 130 |
| Other non-operating gains, net | 16 | 61 | 71 | 101 | 257 | 306 | 361 | 423 |
| Non-operating income / expenses | 83 | 191 | 165 | 256 | 393 | 442 | 575 | 783 |
| Profit before taxes | 1,327 | 1,724 | 2,069 | 2,578 | 2,989 | 3,559 | 4,254 | 5,087 |
| Income taxes | 352 | 445 | 522 | 618 | 729 | 868 | 1,037 | 1,240 |
| *ETR* | 26.5% | 25.8% | 25.2% | 24.0% | 24.4% | 24.4% | 24.4% | 24.4% |
| **Profit after taxes** | **975** | **1,279** | **1,547** | **1,960** | **2,260** | **2,691** | **3,216** | **3,846** |
| *YoY growth* | *0.2%* | *31.2%* | *20.9%* | *26.7%* | *15.3%* | *19.1%* | *19.5%* | *19.6%* |
| ***PAT margin*** | ***16.4%*** | ***16.3%*** | ***16.0%*** | ***17.3%*** | ***17.3%*** | ***17.3%*** | ***17.5%*** | ***17.9%*** |
| | | | | | | | | |
| **Per share** | | | | | | | | |
| EPS | 10.7 | 14.1 | 17.0 | 21.6 | 24.9 | 29.6 | 35.4 | 42.4 |
| DPS | 0.0 | 5.5 | 11.5 | 11.0 | 2.0 | 2.4 | 2.8 | 3.4 |
| BVPS | 41.0 | 55.1 | 60.5 | 71.5 | 96.3 | 123.9 | 157.0 | 196.5 |
| | | | | | | | | |
| Shares outstanding (mn) | 90.8 | 90.8 | 90.8 | 90.8 | 90.8 | 90.8 | 90.8 | 90.8 |

*Source: Company, MNCL Research Estimates*

**Exhibit 3: Consolidated Quarterly Income Statement**

| In Rs mn, except per share | Q4FY24 | Q1FY25 | Q2FY25 | Q3FY25 | Q4FY25 | Q1FY26 | Q2FY26 | Q3FY26 |
|---|---|---|---|---|---|---|---|---|
| **Net revenue** | **2,765** | **2,964** | **3,066** | **3,336** | **3,694** | **3,396** | **3,582** | **4,286** |
| *QoQ growth* | *-4.8%* | *7.2%* | *3.4%* | *8.8%* | *10.7%* | *-8.1%* | *5.5%* | *19.6%* |
| *YoY growth* | *17.5%* | *-3.9%* | *19.4%* | *14.9%* | *33.6%* | *14.6%* | *16.9%* | *28.5%* |
| Cost of goods sold | 1,042 | 1,317 | 1,402 | 1,488 | 1,563 | 1,348 | 1,502 | 2,038 |
| *QoQ growth* | *-18.9%* | *26.4%* | *6.4%* | *6.1%* | *5.0%* | *-13.8%* | *11.5%* | *35.6%* |
| **Gross profit** | **1,723** | **1,647** | **1,664** | **1,848** | **2,131** | **2,049** | **2,080** | **2,248** |
| ***Gross margin*** | ***62.3%*** | ***55.6%*** | ***54.3%*** | ***55.4%*** | ***57.7%*** | ***60.3%*** | ***58.1%*** | ***52.5%*** |
| Employee expenses | 319 | 262 | 273 | 272 | 294 | 339 | 338 | 369 |
| Other operating expenses | 872 | 684 | 751 | 885 | 1,021 | 948 | 963 | 906 |
| **EBITDA** | **532** | **702** | **639** | **692** | **817** | **761** | **780** | **973** |
| ***EBITDA margin*** | ***19.2%*** | ***23.7%*** | ***20.8%*** | ***20.7%*** | ***22.1%*** | ***22.4%*** | ***21.8%*** | ***22.7%*** |
| Depreciation and amortization | 52 | 56 | 59 | 64 | 71 | 76 | 76 | 94 |
| **Earnings before interest and taxes** | **481** | **646** | **580** | **628** | **745** | **686** | **703** | **879** |
| ***EBIT margin*** | ***17.4%*** | ***21.8%*** | ***18.9%*** | ***18.8%*** | ***20.2%*** | ***20.2%*** | ***19.6%*** | ***20.5%*** |
| Interest expenses | 15 | 20 | 28 | 25 | 12 | 7 | 20 | 30 |
| Other income | 112 | 54 | 134 | 84 | 131 | 127 | 108 | 71 |
| One time labour code charges | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 32 |
| Other exceptional items | 0 | 0 | 0 | 72 | 0 | 0 | 20 | 85 |
| **Non-operating income / expenses** | **97** | **33** | **106** | **131** | **120** | **119** | **109** | **-76** |
| **Profit before taxes** | **577** | **679** | **686** | **759** | **865** | **805** | **812** | **803** |
| Income taxes | 136 | 153 | 191 | 175 | 210 | 194 | 204 | 196 |
| ***ETR*** | ***24%*** | ***23%*** | ***28%*** | ***23%*** | ***24%*** | ***24%*** | ***25%*** | ***24%*** |
| **Profit after taxes** | **441** | **526** | **495** | **584** | **655** | **611** | **608** | **607** |
| ***QoQ growth*** | ***-9.3%*** | ***19.4%*** | ***-6.0%*** | ***18.0%*** | ***12.2%*** | ***-6.7%*** | ***-0.5%*** | ***-0.2%*** |
| ***YoY growth*** | ***44.0%*** | ***-7.8%*** | ***7.0%*** | ***20.1%*** | ***48.6%*** | ***16.1%*** | ***22.9%*** | ***4.0%*** |
| ***PAT margin*** | ***15.9%*** | ***17.8%*** | ***16.1%*** | ***17.5%*** | ***17.7%*** | ***18.0%*** | ***17.0%*** | ***14.2%*** |
| | | | | | | | | |
| **Per share** | | | | | | | | |
| EPS | 4.9 | 5.8 | 5.5 | 6.4 | 7.2 | 6.7 | 6.7 | 6.7 |
| DPS | 0.0 | 0.0 | 0.0 | 0.0 | 2.0 | 0.0 | 0.0 | 0.0 |
| BVPS | 71.5 | 77.3 | 82.7 | 89.1 | 96.3 | 101.0 | 108.0 | 114.7 |
| Par value | 2.0 | 2.0 | 2.0 | 2.0 | 2.0 | 2.0 | 2.0 | 2.0 |
| | | | | | | | | |
| Shares outstanding (mn) | 90.8 | 90.8 | 90.8 | 90.8 | 90.8 | 90.8 | 90.8 | 90.8 |

*Source: Company, MNCL Research Estimates*

**Exhibit 4: Consolidated Balance Sheet**

| In Rs mn; FY-end March | FY21 | FY22 | FY23 | FY24 | FY25 | FY26E | FY27E | FY28E |
|---|---|---|---|---|---|---|---|---|
| | | | | | | | | |
| Cash and cash equivalents | 1,928 | 12 | 137 | 49 | 35 | 741 | 580 | 950 |
| Investment in mutual funds and FDs | 249 | 3,184 | 2,922 | 2,465 | 2,854 | 3,854 | 5,854 | 8,354 |
| Restricted deposits | 111 | 7 | 45 | 69 | 16 | 16 | 16 | 16 |
| Trade receivables, adjusted | 1,167 | 779 | 1,995 | 1,656 | 4,255 | 3,409 | 5,634 | 4,947 |
| Inventories | 1,458 | 3,225 | 4,128 | 4,338 | 4,930 | 6,124 | 6,920 | 8,341 |
| Other short-term assets | 357 | 211 | 467 | 617 | 560 | 666 | 786 | 919 |
| **Current assets, total** | **5,270** | **7,418** | **9,694** | **9,195** | **12,650** | **14,811** | **19,790** | **23,527** |
| Investment in mutual funds | 1 | 2 | 2 | 2 | 2 | 2 | 2 | 2 |
| PPE including intangibles, net | 1,020 | 1,337 | 1,645 | 2,555 | 3,594 | 4,156 | 4,709 | 5,254 |
| Capital work-in-progress | 24 | 19 | 2 | 48 | 42 | 42 | 42 | 42 |
| Deferred and advance taxes | 0 | 0 | 0 | 0 | 45 | 0 | 0 | 0 |
| Loans given | 490 | 0 | 0 | 5 | 3 | 3 | 3 | 3 |
| Other non-current assets | 25 | 79 | 100 | 76 | 122 | 145 | 172 | 201 |
| Assets held for sale | 82 | 103 | 105 | 108 | 96 | 96 | 96 | 96 |
| **Total assets** | **6,912** | **8,957** | **11,548** | **11,989** | **16,553** | **19,254** | **24,813** | **29,124** |
| | | | | | | | | |
| Short-term debt | 627 | 461 | 15 | 76 | 365 | 369 | 495 | 645 |
| Trade payables, adjusted | 1,637 | 2,542 | 4,789 | 3,642 | 5,733 | 5,695 | 7,790 | 7,987 |
| Provisions for employees and warranties | 380 | 429 | 542 | 615 | 841 | 912 | 1,076 | 1,259 |
| Other short-term liabilities | 343 | 295 | 488 | 855 | 587 | 699 | 825 | 965 |
| **Current liabilities, total** | **2,986** | **3,727** | **5,834** | **5,189** | **7,526** | **7,675** | **10,186** | **10,856** |
| Long-term debt | 48 | 84 | 75 | 86 | 68 | 68 | 68 | 68 |
| Payable to employees | 103 | 67 | 61 | 139 | 86 | 102 | 120 | 141 |
| Deferred tax and other liabilities | 54 | 77 | 83 | 85 | 137 | 163 | 192 | 225 |
| **Total liabilities** | **3,191** | **3,955** | **6,053** | **5,498** | **7,816** | **8,007** | **10,566** | **11,289** |
| Shareholders' equity | 3,721 | 5,003 | 5,495 | 6,491 | 8,737 | 11,247 | 14,247 | 17,835 |
| **Total liabilities and shareholders' equity** | **6,912** | **8,957** | **11,548** | **11,989** | **16,553** | **19,254** | **24,813** | **29,124** |
| | | | | | | | | |
| Bank Guarantees (contingent Liabilities) | 1,427 | 1,297 | 1,896 | 1,746 | 2,884 | 3,566 | 4,208 | 4,924 |

*Source: Company, MNCL Research Estimates*

**Exhibit 5: Consolidated Cashflow Statement**

| In Rs mn; FY-end March | FY21 | FY22 | FY23 | FY24 | FY25 | FY26E | FY27E | FY28E |
|---|---|---|---|---|---|---|---|---|
| PAT | 975 | 1,279 | 1,547 | 1,960 | 2,260 | 2,691 | 3,216 | 3,846 |
| Depreciation and amortization | 118 | 121 | 139 | 181 | 251 | 298 | 352 | 412 |
| Other non-cash items | 292 | 327 | 378 | 492 | 589 | 732 | 823 | 880 |
| Changes in working capital | 1,218 | -521 | 254 | -743 | -1,248 | -246 | -734 | -323 |
| Taxes paid | -275 | -237 | -534 | -635 | -632 | -868 | -1,037 | -1,240 |
| **Cash flow from operations** | **2,327** | **969** | **1,784** | **1,256** | **1,220** | **2,608** | **2,620** | **3,574** |
| | | | | | | | | |
| Capital expenditure | **-63** | **-445** | **-489** | **-1,014** | **-1,250** | **-860** | **-906** | **-956** |
| Changes in investments | **727** | **-2,791** | **335** | **637** | **-156** | **-785** | **-1,704** | **-2,043** |
| Interest and dividend income | 120 | 90 | 19 | 23 | 14 | 15 | 24 | 34 |
| Loan made to related party | -490 | 490 | 0 | 0 | 0 | 0 | 0 | 0 |
| Sale of productive assets of CVA Inc. | 4 | 6 | 23 | 73 | 0 | 0 | 0 | 0 |
| **Cash flow from investing activities** | **297** | **-2,650** | **-113** | **-281** | **-1,392** | **-1,630** | **-2,586** | **-2,966** |
| | | | | | | | | |
| Changes in debt | -866 | -193 | -456 | 25 | 256 | 4 | 125 | 150 |
| Interest paid | -73 | -23 | -37 | -57 | -84 | -94 | -106 | -130 |
| Dividend paid | -18 | -45 | -1,044 | -998 | 0 | -182 | -216 | -258 |
| **Cash flow from financing activities** | **-957** | **-261** | **-1,536** | **-1,030** | **172** | **-272** | **-196** | **-238** |
| | | | | | | | | |
| FX changes | -37 | 26 | -9 | -8 | -13 | 0 | 0 | 0 |
| **Changes in cash** | **1,630** | **-1,916** | **125** | **-63** | **-14** | **706** | **-162** | **370** |
| Opening cash and cash equivalents | 297 | 1,928 | 12 | 137 | 49 | 35 | 741 | 580 |
| Less: Reconciliations due to restatements | 0 | 0 | 0 | -25 | 0 | 0 | 0 | 0 |
| **Ending cash and cash equivalents balance** | **1,928** | **12** | **137** | **50** | **35** | **741** | **580** | **950** |
| Investment in mutual funds and FDs | 251 | 3,186 | 2,924 | 2,467 | 2,856 | 3,856 | 5,856 | 8,356 |

*Source: Company, MNCL Research Estimates*

**Exhibit 6: Key Ratios**

| Y/E March | FY21 | FY22 | FY23 | FY24 | FY25 | FY26E | FY27E | FY28E |
|---|---|---|---|---|---|---|---|---|
| **Growth Ratio (%)** | | | | | | | | |
| Revenue | -8.4% | 31.8% | 23.3% | 17.1% | 15.5% | 19.0% | 18.0% | 17.0% |
| EBITDA | 2.5% | 21.5% | 23.6% | 22.5% | 13.8% | 20.0% | 18.0% | 17.0% |
| PAT | 0.2% | 31.2% | 20.9% | 26.7% | 15.3% | 19.1% | 19.5% | 19.6% |
| **Margin Ratios (%)** | | | | | | | | |
| Gross profit | 58.3% | 56.9% | 55.2% | 56.3% | 55.8% | 56.0% | 56.0% | 56.0% |
| EBITDA | 22.9% | 21.1% | 21.2% | 22.1% | 21.8% | 22.0% | 22.0% | 22.0% |
| EBIT | 20.9% | 19.6% | 19.7% | 20.5% | 19.9% | 20.1% | 20.1% | 20.1% |
| PAT | 16.4% | 16.3% | 16.0% | 17.3% | 17.3% | 17.3% | 17.5% | 17.9% |
| **DuPont (%)** | | | | | | | | |
| PAT-to-sales | 16.4% | 16.3% | 16.0% | 17.3% | 17.3% | 17.3% | 17.5% | 17.9% |
| Sales-to-assets | 0.9 | 0.87 | 0.84 | 0.94 | 0.79 | 0.81 | 0.74 | 0.74 |
| Sales-to-gross fixed assets | 4.0 | 4.0 | 4.1 | 3.3 | 2.9 | 2.9 | 2.9 | 2.9 |
| Sales-to-net fixed assets | 5.8 | 5.9 | 5.9 | 4.4 | 3.6 | 3.7 | 3.9 | 4.1 |
| Assets-to-equity | 1.9 | 1.79 | 2.10 | 1.85 | 1.89 | 1.71 | 1.74 | 1.63 |
| RoE | 29.9% | 29.3% | 29.5% | 32.7% | 29.7% | 26.9% | 25.2% | 24.0% |
| RoAA | 14.8% | 16.1% | 15.1% | 16.7% | 15.8% | 15.0% | 14.6% | 14.3% |
| RoCE | 35.9% | 33.6% | 34.9% | 37.2% | 33.0% | 30.4% | 28.2% | 26.2% |
| RoIC | 33.4% | 49.8% | 58.4% | 53.0% | 37.7% | 34.0% | 34.7% | 35.6% |
| **Turnover Ratios (days)** | | | | | | | | |
| Receivable days | 86 | 45 | 52 | 59 | 83 | 90 | 90 | 90 |
| Inventory days | 226 | 253 | 310 | 313 | 293 | 295 | 295 | 295 |
| Payable days | 205 | 226 | 309 | 311 | 297 | 305 | 305 | 305 |
| Cash conversion days | 107 | 73 | 53 | 60 | 79 | 80 | 80 | 80 |
| **Solvency Ratios** | | | | | | | | |
| Net debt-to-equity | -40% | -53% | -54% | -36% | -28% | -37% | -41% | -48% |
| Debt-to-equity | 18% | 11% | 2% | 2% | 5% | 4% | 4% | 4% |
| CFO-to-EBITDA | 171% | 59% | 87% | 50% | 43% | 76% | 65% | 76% |
| Capex-to-net revenue | 1.1% | 5.7% | 5.1% | 9.0% | 9.6% | 5.5% | 4.9% | 4.5% |
| Accrual ratio | -25% | 37% | -1% | 8% | 17% | 10% | 14% | 12% |
| **Per share (INR)** | | | | | | | | |
| EPS | 10.7 | 14.1 | 17.0 | 21.6 | 24.9 | 29.6 | 35.4 | 42.4 |
| DPS | 0.0 | 5.5 | 11.5 | 11.0 | 2.0 | 2.4 | 2.8 | 3.4 |
| BVPS | 41.0 | 55.1 | 60.5 | 71.5 | 96.3 | 123.9 | 157.0 | 196.5 |
| CEPS | 25.6 | 10.7 | 19.7 | 13.8 | 13.4 | 28.7 | 28.9 | 39.4 |
| **Valuation (x)** | | | | | | | | |
| P/E | n.a. | n.a. | n.a. | 56.5 | 47.0 | 38.8 | 32.5 | 27.2 |
| P/B | n.a. | n.a. | n.a. | 17.1 | 12.2 | 9.3 | 7.3 | 5.9 |
| P/S | n.a. | n.a. | n.a. | 9.8 | 8.1 | 6.7 | 5.7 | 4.9 |
| EV/EBITDA | n.a. | n.a. | n.a. | 43.4 | 36.5 | 29.4 | 24.5 | 20.4 |
| **Dividend** | | | | | | | | |
| Payout | 0% | 39% | 67% | 51% | 8% | 8% | 8% | 8% |

*Source: Company, MNCL Research estimates*

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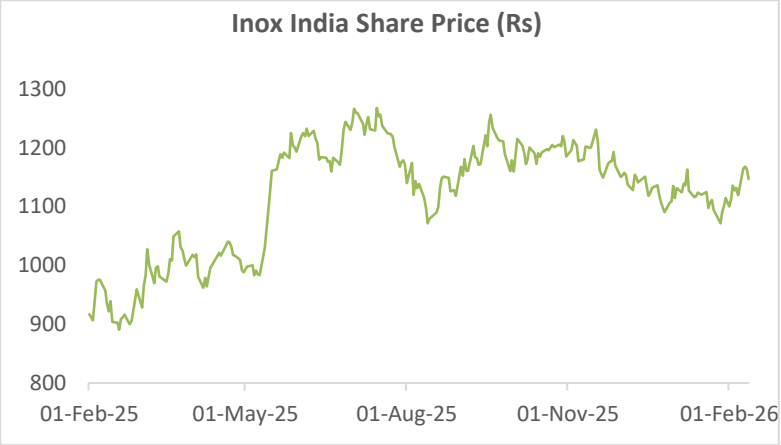

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